The Labour Code on Wages was passed by the Parliament in 2019. This Code consolidates four dimensions of pay and allowances by bringing four laws—the Minimum Wages Act, 1948; Payment of Wages Act, 1936; Payment of Bonus Act, 1965; and Equal Remuneration Act, 1976—under a single Code. The central rules prepared under the Code on Wages were notified on 24 August 2020 as the Draft Code on Wages (Central) Rules 2020. These rules were still in the process of finalization by the end of financial year 2020–21.

The other three Codes—the Occupational Safety, Health and Working Conditions Code, 2020, which deals with workplace conditions; the Industrial Relations Code, 2020, which deals with different laws relating to organization of labour and resolution of labour disputes; and the Code on Social Security, 2020, dealing with various aspects of social security for workers of organized and unorganized sectors—were passed by the Parliament on 23 September 2020.

The Draft Occupational Safety, Health and Working Conditions Code (Central) Rules 2020 were notified on 19 November 2020 and the Draft Rules on Industrial Relations Code were notified by the Central government on 29 October 2020. The Draft Rules on Social Security were published on 13 November 2020.

Four Codes Consolidate Concepts and Definitions

The four Labour Codes have consolidated twenty-nine laws on labour. These laws had variously described and defined labour in different ways: workman, worker, employee, organized worker, unorganized worker, and so on in the context of the respective laws.

The Factories Act, the principal law for governing workplace conditions in manufacturing, defined labour as ‘worker’ to mean a person employed directly by or through any agency in any manufacturing process, in any kind of work incidental to or connected with the manufacturing process, or